



Tata Elxsi continued to report a healthy set of numbers which were largely in line with our estimates across the board

- INR revenue came in at INR 6,817 Mn, +7.3% qoq / +31.5% yoy and +0.8% above our estimates
- EBITDA was reported at INR 2,212 Mn, +4.9% qoq / +31.7% yoy and -1.2% below our estimates
- EBITDA margins stood at 32.5%, vs 33.2% / 32.4% in Q3FY22 / Q4FY21 respectively and 60 bps below estimates.
- PAT came in at INR 1,600 Mn, +6% qoq / +38.9% yoy and -0.3% below our estimates
- EPS at INR 25.7 in Q4FY22 vs 24.2 / 18.5 in Q3FY22 / Q4FY21 respectively
- Board recommended a final dividend of INR 42.5 per share

Segment-wise Performance

- **Industry-wise** Growth was led by Transportation at 8.3% qoq / 38.6% yoy, followed by Media & Comms at 7.2% qoq / 31.6% yoy
- **Services-wise:** Sequential Growth was driven by Industrial Design & Visualization (9% of revenue) at 8.7% qoq / -10.1% yoy. EPD (89% of revenue) grew +7.6% qoq / 38.4% yoy.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	16,099	18,261	24,708	31,506	35,266
EBITDA	3,430	5,224	7,657	9,772	10,937
Adjusted net profit	2,571	3,687	5,517	7,064	7,917
Free cash flow	2,186	4,174	4,566	6,612	7,422
EPS (Rs)	41.3	59.2	88.6	113.4	127.1
growth (%)	-11%	43%	50%	28%	12%
P/E (x)	202.5	141.2	94.3	73.7	65.7
P/B (x)	47.8	38.5	30.9	24.7	20.2
EV/EBITDA (x)	171.8	107.3	71.6	56.1	49.7
D/E	0.1	0.1	0.0	0.0	0.0
ROCE (%)	26.9	27.2	34.7	37.4	34.1
RoE (%)	24.1	26.9	33.9	34.7	31.6
Dividend yield (%)	0.2	0.6	0.4	0.5	0.6

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BOOK PARTIAL PROFIT	6,356	-24

Market data

Current price	Rs	8,358
Market Cap (Rs.Bn)	(Rs Bn)	520
Market Cap (US\$ Mn)	(US\$ Mn)	6,830
Face Value	Rs	10
52 Weeks High/Low	Rs	9420 / 2971.864
Average Daily Volume	('000)	1,461
BSE Code		500408
Bloomberg		TELX.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	44.08	44.32
Public	55.92	55.68
Total	100	100

Source: Bloomberg

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Concall Highlights

- The deal pipeline for FY23 is stronger than FY22.
- Witnessing strong demand for design and digital offerings driving EPD growth.
- **Transportation:** Growth driven by large deal wins and good demand in Autonomous, EV and ADAS. Tata Elxsi and Renesas (semiconductor producer in Japan) partnered to establish Next Generation EV Innovation Center. The focus of this innovation centre will be on 2W and 3W to create reference designs and solution accelerators for critical EV subsystems like Battery Management Systems and Motor Control Units.
- **Media & Communication:** Large deal wins and is growing consistently QoQ. Signed a 5 year deal with a leading Middle East Broadcaster leveraging Tata Elxsi video platform and IP.
- **Medical:** Demand is good in regulatory and digital and health offerings. A multi year, multi million USD deal was signed with a North America healthcare platform provider for providing cloud engineering services.
- Unveiled T-engage (towards the end of March) which is an omni-channel digital health platform. Having enormous interest from customers for patient experience.
- **Talent:** Accelerated hiring of freshers and laterals to offset attrition. Impact of wage hike (for 65% of employees) during Q4: 150 bps offset by higher utilisation, pyramid rationalization and better business mix. The attrition was majorly seen in junior employees. Senior employees will be given a wage hike in April 2022.
- **Headcount:** Expects to add 2500 – 3000 freshers in FY23, while added 1000-1500 in FY22.
- The revenue offshore:onsite mix of 75:25 should be sustained thereby aiding higher margins.
- >Effort mix: 90:10 offshore:onsite. Expects to remain in this range for the foreseeable future.
- Over the past few years have shifted from project based to annuity based relationships which results in higher margins.
- The company is aggressively spending on the sales team to mine new geographical areas and mine existing/new customers.
- Few enquiries came from EPAM customers due to situation in Ukraine as customers are looking to diversify the risk. There has been no impact of any geopolitical tension as the company does not have any customers in those regions.
- The recent partnerships to develop various offshore centres with customers brings greater longevity for revenues and thereby healthy margins.
- Management expects the demand and supply mismatch to resolve by H1FY23.

Quarterly Deviation Sheet

YE March (Rs mn)	Q4 FY22	Q3 FY22	Q-o-Q change %	Q4 FY21	Y-o-Y change %	Q4 FY22 Est.	Deviation %
Revenues (INR)	6,817	6,354	7.3%	5,184	31.5%	6,764	0.8%
Cost of Raw Material	339	223	52.0%	308	9.9%	304	11.3%
Gross Profit	6,479	6,131	5.7%	4,876	32.9%	6,460	0.3%
Direct Costs	4,266	4,023	6.0%	3,195	33.5%	4,221	1.1%
EBITDA	2,212	2,108	4.9%	1,680	31.7%	2,239	(1.2%)
Depreciation & Amortisation	159	140	13.1%	113	40.6%	149	6.3%
EBIT	2,054	1,968	4.3%	1,567	31.0%	2,090	(1.7%)
Other Income, net	181	65	177.8%	68	165.1%	69	161.0%
Interest Paid	32	30		19		30	
PreTax Income	2,235	2,033	9.9%	1,636	36.6%	2,159	3.5%
Adjusted Pretax Income	2,203	2,003	10.0%	1,617	36.2%	2,129	
Tax	603	494	22.1%	465	29.6%	525	
Share of Minority Interest							
Net Profit	1,600	1,510	6.0%	1,152	38.9%	1,604	(0.3%)
Adjusted Net Profit	1,600	1,510	6.0%	1,152	38.9%	1,604	(0.3%)
Diluted EPS (Rs)	25.7	24.2	6.0%	18.5		25.8	
Adjusted Diluted EPS	25.7	24.2	6.0%	18.5		25.8	(0.3%)
No.of Shares (mn) - Diluted	62	62		62		62	
Margin Analysis (%)			Change in bps		Change in bps		
EBIT Profit Margin (%)	30.1%	31.0%	(85)	30.2%	(11)	30.9%	(77)
EBITDA Margin (%)	32.5%	33.2%	(73)	32.4%	4	33.1%	(65)
Net Profit Margin (%)	23.5%	23.8%	(29)	22.2%	125	23.7%	(25)
Adjusted NPM (%)	23.5%	23.8%	(29)	22.2%	125	23.7%	(25)
Effective Tax rate (%)	27.0%	24.3%	269	28.4%	(147)	24.3%	267
CostAnalysis (%)			Change in bps		Change in bps		
Direct cost as % of Sales	5.0%	3.5%	146	5.9%	(98)	4.5%	47
SG&A as % of Sales	62.6%	63.3%	(73)	61.6%	94	62.4%	18

Source: Company, D&B Research

Valuation & Outlook

Tata Elxsi is currently trading at 73.7x / 65.7x FY22e / FY23e EPS.

Q4FY22 was the 7th consecutive quarter of robust performance. Tata Elxsi is taking this current upcycle in ER&D spend due to client industries preferring higher connectivity, digital transformation and data engineering - by its stride. Management's commentary on strong order-book, healthy pipeline and sustainability of growth momentum for next 8 quarters alleviates uncertainties about whether current run-rate can be maintained.

We believe that valuations will remain at elevated levels due to the high growth nature of the industry coupled with leading execution and performance by Tata Elxsi amongst peers.

However, given the softened sentiment of the market, we believe that the golden days premium valuations are over

Therefore, we recommend investors to book partial profits and HOLD the balance as we reduce the target multiple to 50x FY24E EPS to arrive at a target price of INR 6,356.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	16,099	18,261	24,708	31,506	35,266
Sales Growth (Y-o-Y)	0.8%	13.4%	35.3%	27.5%	11.9%
EBIDTA	3430	5224	7657	9772	10937
EBIDTA Growth (Y-o-Y)	-17.4%	52.3%	46.6%	27.6%	11.9%
Net Profit	2571	3687	5517	7064	7911
Net Profit Growth (Y-o-Y)	-11.4%	43.4%	49.6%	28.0%	12.1%
EPS	41.3	59.2	88.6	113.4	127.1
EPS Growth (Y-o-Y)	-11.4%	43.4%	49.6%	28.0%	12.1%
No of Shares (mn)	62	62	62	62	62
EBIDTA (%)	21.3%	28.6%	31.0%	31.0%	31.0%
Operating Margin %	18.6%	26.2%	28.8%	28.5%	28.5%
NPM (%)	16.0%	20.2%	22.3%	22.4%	22.4%

Valuation Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	202.5x	141.2x	94.3x	73.7x	65.7x
P/BV (x)	47.8x	38.5x	30.9x	24.7x	20.2x
EV/EBIDTA (x)	171.8x	107.3x	71.6x	56.1x	49.7x
EV/Sales	32.0x	28.1x	20.6x	16.0x	14.2x
Market Cap./ Sales (x)	32.3x	28.5x	21.1x	16.5x	14.8x
Dividend Yield (%)	0.2%	0.6%	0.4%	0.5%	0.6%

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Market Cap./ Sales (x)	32.3x	28.5x	21.1x	16.5x	14.8x
Dividend Yield (%)	0.2%	0.6%	0.4%	0.5%	0.6%

Balance Sheet					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	623	623	623	623	623
Reserves & Surplus	10,278	12,899	16,211	20,451	25,203
Equity	10,900	13,522	16,834	21,074	25,826
Net Worth	10,900	13,522	16,834	21,074	25,826
Total Loans	816	1,001	168	231	259
Capital Employed	11,716	14,522	17,002	21,305	26,085
Assets					
Gross Block	1,620	1,859	2,209	2,559	2,908
Less: Depreciation	797	999	1,552	2,340	3,221
Net Block	823	860	657	219	(313)
Capital WIP	9	73	49	64	79
Investments	168	1,224	241	271	301
Intangible Assets	129	186	139	139	139
Others - A	748	911	186	186	186
Current Assets					
Sundry Debtors	3,924	4,023	5,077	6,215	6,957
Cash and Bank Balance	6,642	8,596	12,108	16,439	21,281
Other Current Assets	1,420	1,285	1,538	1,811	1,961
Total Current Assets	12,012	13,914	18,759	24,509	30,248
Less: Current Liabilities & Provisions					
Sundry Creditors	471	561	934	1,429	1,600
Total Current Liabilities & Provisions	2,174	2,645	3,030	4,085	4,557
Capital Applied	11,716	14,522	17,002	21,305	26,085

Cash Flow Statement					
YE March	FY20	FY21	FY22E	FY23E	FY24E
PAT	2,571	3,687	5,517	7,064	7,917
Less: Non Operating Income	-584	-398	-445	-866	-970
Add: Depreciation	434	444	553	788	882
Tax Adjustment					
Operating Profit before WC Changes	2,476	3,792	5,719	7,112	7,956
Net Cash Generated From Operations	2,334	4,316	4,772	6,747	7,531
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-149	-239	-350	-350	-350
Net Cash Flow from Investing Activities	-154	-1,202	1,865	456	560
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	678	185	-832	63	28
Dividend Paid	1028	2989	2205	2823	3164
Net Cash Flow from Financing Activities	-419	-2,864	-3,132	-2,888	-3,264
Net Inc/(Dec) in cash equivalents	1,761	250	3,505	4,315	4,827
Opening Balance	5,158	6,642	8,596	12,108	16,439
Closing Balance Cash	6,919	6,892	12,101	16,424	21,266

Free Cash Flow Statement					
YE March	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	3,430	5,224	7,657	9,772	10,937
Add: Depreciation Tax Shield	117	124	144	215	241
Working Capital Changes	(259)	496	(947)	(365)	(425)
Less: Inc in FC Investment	(149)	(239)	(350)	(350)	(350)
Taxes Paid	(954)	(1,432)	(1,937)	(2,660)	(2,981)
Total Free Cash Flows	2,186	4,174	4,566	6,612	7,422

Source: Dalal & Broacha Research, Company

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